

AC4407

Financial Reporting 1

Winter 2021 Examination

Paper 1 · 1.5 hours · Answer Question 1 and ONE other question · Total 100 Marks

Module	AC4407 — Financial Reporting 1
Session	Winter 2021
Structure	Question 1 (Compulsory, two parts, 60 Marks) + one of Question 2 or Question 3 (40 Marks each)
This scheme covers	Question 1, Question 2 and Question 3 in full

Own-figure rule. If you carry an early error into later parts of a question but apply the right method consistently from that point on, you still pick up the method marks for those later steps.

A date in Question 2 looks like a typo. The insurance claim in Issue A is dated "1 March 2X21" and "9 March 2X21", but the court case wasn't decided until "late February 2X22" — the claim can't have been filed before the loss it relates to. Both dates almost certainly should read 2X22. That's the reading used throughout this scheme, and it's the only reading that makes the timeline work.

Question 1, Part One

46 Marks — Revaluation Model, IAS 16

Scenario

Art Plc is switching from the Cost Model to the Revaluation Model for its Bluebell property (cost €9,200,000, bought 1 January 2X18, 40-year useful life). Independent valuation at 31 December 2X21: €10,800,000.

(i) Required

17 Marks

Assume Art Plc adopts the Revaluation Model, and that accumulated depreciation is eliminated on asset revaluation. Prepare the journal entries required to recognise the revaluation of property as at 31 December 2X21.

FULL MODEL ANSWER

Bluebell has been depreciated for four full years (2X18–2X21) by the revaluation date.

Step	Value
Annual depreciation ($9,200 \div 40$ years)	€230,000
Accumulated depreciation after 4 years ($230,000 \times 4$)	€920,000
Carrying value at 31 Dec 2X21, before revaluation ($9,200,000 - 920,000$)	€8,280,000
Fair value at 31 Dec 2X21	€10,800,000
Revaluation gain	€2,520,000

Journals — eliminate accumulated depreciation, then restate to fair value

Account	Debit	Credit
Accumulated depreciation	€920,000	
Property (cost)		€920,000
<i>To eliminate accumulated depreciation against cost</i>		
Property	€2,520,000	
Revaluation surplus (OCI)		€2,520,000
<i>To restate the property to its fair value of €10,800,000</i>		

Both entries together take the Property account from €9,200,000 to €10,800,000 and clear accumulated depreciation back to zero — a quick check worth running before you move on.

Mark Allocation, 17 Marks

Tier	Marks	What separates this tier
14-17	14-17	Depreciation for the correct number of years (4), correct carrying value before revaluation, correct gain, and both journal entries structured under the elimination method.
9-13	9-13	Correct gain calculated but one journal entry error — most often forgetting to eliminate the accumulated depreciation before restating to fair value.
4-8	4-8	Depreciation and carrying value correct but the revaluation gain or journals not properly constructed.
0-3	0-3	No credible attempt.

Question 1, Part One

46 Marks — Revaluation Model, IAS 16

(ii) Required

19 Marks

Assume the Bluebell property is subsequently revalued on 31 December 2X22 to €7,200,000. Advise Art Plc of the journal entries that would be required to account for this revaluation.

FULL MODEL ANSWER

After the 2X21 revaluation, 36 years of useful life remain. One further year passes before the next valuation.

Step	Value
2X22 depreciation ($10,800,000 \div 36$ years remaining)	€300,000
Carrying value at 31 Dec 2X22, before revaluation ($10,800,000 - 300,000$)	€10,500,000
Fair value at 31 Dec 2X22	€7,200,000
Decrease in value	€3,300,000

Where the decrease goes: The revaluation surplus carried forward from 2X21 is only €2,520,000 — less than the €3,300,000 fall. The surplus absorbs what it can; the €780,000 shortfall has to go through profit or loss, since IAS 16 only allows a decrease to sit in OCI up to the size of the existing surplus for that specific asset.

Journals

Account	Debit	Credit
Accumulated depreciation	€300,000	
Property (cost)		€300,000
<i>To eliminate the year's accumulated depreciation against cost</i>		
Revaluation surplus (OCI)	€2,520,000	
Profit or loss (impairment/revaluation loss)	€780,000	
Property		€3,300,000
<i>To write the property down to its fair value of €7,200,000</i>		

35 years of useful life now remain (36 minus the one year just depreciated). If the property is revalued again next year, that's the figure to use.

Mark Allocation, 19 Marks

Tier	Marks	What separates this tier
15-19	15-19	2X22 depreciation calculated on the revalued amount over the remaining 36 years, correct carrying value and decrease, and the decrease correctly split between the surplus and profit or loss.
10-14	10-14	Correct decrease calculated but wrongly taken entirely to OCI (or entirely to P&L) instead of being split at the point the surplus runs out.
5-9	5-9	Depreciation recalculated correctly but the surplus/P&L split not attempted.
0-4	0-4	No credible attempt, or 2X22 depreciation still based on original cost rather than the 2X21 valuation.

Question 1, Part One

46 Marks — Revaluation Model, IAS 16

(iii) Required

10 Marks

In your opinion, does IAS 16 'Property, Plant and Equipment' increase the comparability of financial statements? Please briefly explain your answer.

FULL MODEL ANSWER

The honest answer is: not really — and the two revaluations above are a good illustration of why. IAS 16 lets each company choose, asset class by asset class, between the Cost Model and the Revaluation Model. Two companies that own identical buildings, bought on the same day for the same price, can report completely different carrying values and completely different profit patterns purely because one chose to revalue and the other didn't. That's a policy choice, not a difference in the underlying economics — exactly the kind of thing comparability is supposed to protect against.

Even between two companies that both revalue, comparability isn't fully restored. Fair value is a matter of judgement. Different valuers, different assumptions, different valuation dates — Art Plc's own numbers above swing from a €2.52m gain to a €3.3m fall inside twelve months, which shows how sensitive these figures are to timing. IAS 16 requires revaluations only 'with sufficient regularity', not on a fixed schedule, so two companies revaluing at different points in the cycle will show different numbers even if their properties are genuinely worth the same.

There's a case for the other side, though. Fair value is arguably more relevant to users than a decades-old historical cost, especially for property that's held for a long time. IAS 16 also requires disclosure of which model is used and the basis for any valuation, so at least the choice itself is transparent — an analyst who wants to compare two companies can see which model each one uses and adjust accordingly.

On balance: IAS 16's flexibility trades comparability for relevance. It's defensible — forcing every company onto historical cost would arguably make the numbers less useful, not more comparable in any meaningful sense — but it does mean analysts have to do some of the comparability work themselves rather than getting it for free from the standard.

Mark Allocation, 10 Marks

Tier	Marks	What separates this tier
8-10	8-10	A clear position, backed by a real argument — the accounting-policy-choice point and/or the judgement-in-valuation point — with some acknowledgement of the counter-argument (relevance, disclosure).
5-7	5-7	A reasonable position stated but the reasoning thin, or only one side of the argument considered.
2-4	2-4	Generic comments about IAS 16 without engaging with the comparability question specifically.
0-1	0-1	No meaningful attempt.

Question 1, Part Two

14 Marks — Borrowing Costs, IAS 23

Scenario

Art Plc is building a machine, funded by a €1,200,000 loan at 6%: €600,000 drawn 1 January 2X21, a further €600,000 drawn 1 July 2X21. Construction began 1 January 2X21 (expected completion July 2X22) but was suspended in May and June 2X21 due to a shortage of materials. All the interest has been expensed to profit or loss for the year ended 31 December 2X21.

Required

14 Marks

With reference to the relevant IFRS/IAS, advise how the matters outlined in Issue B should be dealt with in the financial statements of Art Plc for the year ended 31 December 2X21. Include journal entries where relevant.

FULL MODEL ANSWER

The starting point is IAS 23. Borrowing costs directly attributable to constructing a qualifying asset must be capitalised, not expensed — so Art Plc's blanket treatment (everything through finance costs) is wrong before we even get to the numbers.

But capitalisation has to stop during the suspension. IAS 23 requires capitalisation to be suspended during extended periods in which active development is interrupted. May and June 2X21 — a full two-month halt for lack of materials — is exactly that. Interest for those two months should be expensed, not capitalised, even though the loan itself kept running.

	€600,000 drawn 1 Jan	€600,000 drawn 1 July
Months outstanding in 2X21	12	6
Full-year/period interest at 6%	€36,000	€18,000
Of which: suspended (May & June, expensed)	€6,000 (2 months)	— (not yet drawn)
Of which: capitalised	€30,000 (10 months)	€18,000 (all 6 months)

	Value
Total interest incurred	€54,000
Capitalise (add to the cost of the machine)	€48,000
Correctly expensed as finance costs (suspension period)	€6,000

Only the first tranche is affected by the suspension — the second €600,000 wasn't drawn until 1 July, well after construction had already resumed, so all of its interest qualifies for capitalisation.

Correcting journal

Account	Debit	Credit
Machine (asset under construction)	€48,000	
Finance costs (profit or loss)		€48,000

The remaining €6,000 stays where it already is, in finance costs — no correction needed for that portion.

Mark Allocation, 14 Marks

Tier	Marks	What separates this tier
11-14	11-14	Correctly identifies that borrowing costs should be capitalised under IAS 23, correctly suspends capitalisation for the two-month halt on the first tranche only, and gives the correct €48,000 reclassifying journal.
7-10	7-10	Capitalisation principle correctly identified but the suspension either ignored (capitalising the full €54,000) or wrongly applied to the second tranche as well.
3-6	3-6	Recognises that some interest should be capitalised but the calculation isn't built up tranche by tranche.
0-2	0-2	No credible attempt, or the original 'expense everything' treatment is accepted as correct.

Question 1 Total: 60 Marks

Question 2

40 Marks — Choice question: answer EITHER Question 2 OR Question 3

Choosing between Question 2 and Question 3. Both are marked out of 40. This scheme covers both in full, so use whichever plays to your strengths.

Scenario

College Ltd's draft Statement of Changes in Equity for the year ended 31 December 2X21 shows Retained earnings b/f €1,600,000, Profit for the year €600,000, Retained earnings c/f €2,200,000 (€'000 below). Three issues remain unresolved, and the financial statements haven't been authorised yet.

Question 2

40 Marks — Choice question: answer EITHER Question 2 OR Question 3

(i) Required

32 Marks

Prepare the retained earnings extract from the statement of changes in equity, after accounting for issues A, B and C, for the year ended 31 December 2X21. Ignore tax.

Issue A: A supplier's legal case against College Ltd was still ongoing at 31 December 2X21. In late February 2X22, College Ltd was found liable for €200,000. Once the claim was filed with insurers (see note above on the date typo), the insurer confirmed in writing that it would cover €120,000 of this.

Issue B: Inventory carried at €50,000 at 31 December 2X21 was sold on 2 January 2022 for €30,000.

Issue C: An investment property bought 1 January 2X20 for €3,000,000 (40-year life, Cost Model, depreciated accordingly) is being switched to the Fair Value Model, which the directors believe gives more relevant and reliable information. Fair value: €3,120,000 at 31 December 2X20, €3,350,000 at 31 December 2X21.

FULL MODEL ANSWER

Issue A — the court case

Both post-year-end pieces of news are adjusting events. The dispute existed before 31 December 2X21 — the court simply confirmed in February 2X22 what the position already was at the year end. Under IAS 10, that makes both the €200,000 finding against College Ltd and the insurer's written confirmation adjusting events: they tell us about conditions that already existed at the reporting date, so the year-end figures are updated to reflect them.

Recognise the liability in full, and the recovery separately. A €200,000 provision goes in for the damages. The insurance recovery is a different asset (a reimbursement receivable), recognised only because the insurer has confirmed cover in writing — not merely because a claim was filed. Netting the two off against each other isn't permitted; they're shown gross.

	€'000
Provision for damages	(200)
Insurance recovery receivable	120
Net effect on profit	(80)

Question 2 (continued)

FULL MODEL ANSWER

Issue B — the inventory sale

Another adjusting event. The €30,000 sale on 2 January 2022 tells us what the inventory was actually worth at 31 December 2X21 — its net realisable value was lower than the €50,000 it was carried at. Under IAS 2, inventory can't be carried above NRV, so the year-end write-down has to be recognised now, not treated as a 2X22 loss.

	€'000
Carrying value at 31 Dec 2X21	50
NRV, evidenced by the actual sale price	30
Write-down (reduction to profit)	(20)

Issue C — switching the investment property to fair value

This is a change in accounting policy, not a change in estimate. Moving from the Cost Model to the Fair Value Model for investment property is a policy change under IAS 8. Because it's voluntary (the directors believe it gives more relevant information, not because a new standard forces it), it has to be applied retrospectively — as if the fair value model had been used from day one.

That means restating last year as well as this year. Two separate adjustments are needed: one to opening retained earnings, correcting the cumulative effect up to 1 January 2X21, and one to this year's profit, correcting 2X21 itself. Neither figure is directly given — both come from comparing what actually happened under the Cost Model against what would have happened under the Fair Value Model.

Question 2 (continued)

FULL MODEL ANSWER

	Cost Model (as reported)	Fair Value Model (restated)
Carrying value, 31 Dec 2X20	$3,000 - 75 = 2,925$	3,120
Carrying value, 31 Dec 2X21	$3,000 - 150 = 2,850$	3,350

(Annual depreciation under the old policy was $3,000 \div 40 = €75,000$.)

Adjustment	€'000
Opening retained earnings (1 Jan 2X21): the gap between the two models at 31 Dec 2X20 — $3,120 - 2,925$	+195
Current year (2X21) profit: reverse the 75 depreciation charged under the old policy, and recognise the fair value gain instead ($3,350 - 3,120 = 230$)	+305 (75 + 230)

The two adjustments ($195 + 305 = 500$) should equal the total gap between the two models at 31 December 2X21 ($3,350 - 2,850 = 500$) — they do, which is a good sign nothing has slipped through the cracks.

Putting it all together

	€'000
Retained earnings b/f, as originally stated	1,600
Issue C — restatement of the opening balance	+195
Retained earnings b/f, restated	1,795
Profit for the year, as originally stated	600
Issue A — court case (net)	(80)
Issue B — inventory write-down	(20)
Issue C — current year effect of the policy change	+305
Profit for the year, restated	805
Retained earnings c/f, restated	2,600

Mark Allocation, 32 Marks

Tier	Marks	What separates this tier
26-32	26-32	All three issues correctly resolved — Issue A's provision and recovery both recognised gross, Issue B's inventory correctly written down, and Issue C correctly split into an opening-balance restatement plus a current-year effect — with the final €2,600 figure.
18-25	18-25	Two issues fully correct; the most common slip on Issue C is adjusting only the current year and forgetting the opening balance restatement, or vice versa.
9-17	9-17	One issue fully correct, most often Issue A or B; Issue C's retrospective mechanics not attempted.
0-8	0-8	No credible attempt at any of the three issues.

Question 2

40 Marks — Choice question: answer EITHER Question 2 OR Question 3

(ii) Required

8 Marks

Briefly explain how IAS 8 'Accounting Policies, Changes in Accounting Estimates and Errors' helps maintain the qualitative characteristics of relevance, faithful representation (reliability), understandability and comparability of information in financial statements.

FULL MODEL ANSWER

Relevance and faithful representation: IAS 8 only permits a voluntary change in accounting policy — exactly what's happening with College Ltd's investment property — where the new policy gives more relevant and reliable information. That bar exists precisely to stop companies switching policies opportunistically, e.g. to smooth or flatter reported profit.

Comparability: Retrospective restatement is the mechanism that protects comparability across time. Without it, a policy change would create a break in the numbers that made this year look completely different from last year for reasons that have nothing to do with performance. Restating prior periods as if the new policy had always applied keeps the trend genuinely comparable.

Understandability: IAS 8 requires disclosure of why a policy changed and what effect it had. Users aren't just shown different numbers — they're told why the numbers moved, which is what makes a restatement understandable rather than just confusing.

Estimates are treated differently, on purpose: IAS 8 draws a firm line between a change in policy (retrospective, as above) and a change in accounting estimate (applied prospectively, from now on, with no restatement). That distinction matters for understandability too — if every revised estimate triggered a full restatement, the accounts would be in a near-constant state of revision, which would undermine rather than support comparability.

Mark Allocation, 8 Marks

Tier	Marks	What separates this tier
6-8	6-8	Connects IAS 8's actual mechanisms (the 'more relevant and reliable' test, retrospective restatement, disclosure requirements) to specific qualitative characteristics, rather than just defining the characteristics in the abstract.
4-5	4-5	Correctly describes the qualitative characteristics but the link to what IAS 8 actually requires is thin.
1-3	1-3	Generic description of IAS 8 or the qualitative characteristics with little connection between the two.
0	0	No meaningful attempt.

Question 2 Total: 40 Marks

Question 3

40 Marks — Statement of Cash Flows, IAS 7

Scenario

John Ltd's financial statements for the year ended 31 December 2X21 (€'000):

	2X21	2X20
Land	2,100	2,000
Property, plant & equipment	3,362	3,150
Inventories	200	150
Trade receivables	138	90
Investments (deposit accounts, repayable on demand)	100	20
Cash	200	40
Ordinary share capital @ €1	4,000	3,800
Share premium	100	0
Retained earnings	1,200	1,040
10% Debentures	600	360
Trade payables	180	220
Tax	20	30

Profit before tax 2X21: €218,000. Tax: €(38,000). Profit after tax: €180,000.

PP&E: cost €3,900k / acc. dep. €750k at 2X20; cost €4,400k / acc. dep. €1,038k at 2X21. Equipment costing €100,000 (acc. dep. €82,000) was sold on 1 December 2X21 for €20,000. The Cost Model is used throughout. The additional debenture loan was raised on 1 July 2X21. Proposed dividend: €20,000 at 31/12/2X20, €30,000 at 31/12/2X21.

Required

40 Marks

In line with IAS 7 'Cash-flow Statements', prepare the Statement of Cash Flows for John Ltd for the year ended 31 December 2X21.

FULL MODEL ANSWER

Two things to sort out before touching the statement itself

The 'Investments' are cash, not an investment. They're described as deposit accounts repayable on demand — that's the textbook definition of a cash equivalent under IAS 7 (short-term, highly liquid, readily convertible to a known amount of cash, insignificant risk of change in value). They belong alongside Cash in the closing cash and cash equivalents figure, not as a separate line in investing activities. Missing this is probably the single easiest mark to drop in this question.

Only one of the two proposed dividends actually gets paid this year.

Neither figure appears as a liability on the balance sheet, which is exactly right under IAS 10 — a dividend that's merely proposed, not yet declared and approved, isn't a liability at the reporting date. But the €20,000 proposed at 31 December 2X20 would ordinarily be approved and paid out during 2X21, once shareholders sign off at the AGM. The retained earnings movement confirms it: opening 1,040 + profit 180 = 1,220, but closing retained earnings is only 1,200 — the missing €20,000 is exactly the dividend paid during the year. The €30,000 proposed at the 2X21 year end hasn't been paid yet and doesn't belong in this year's cash flow at all.

Since the P&L extract only gives profit before tax (no separate operating profit or finance cost line), interest for the year has to be worked out from the debenture balances: 10% on €360k for the full year, plus 10% on the new €240k tranche for the six months it was outstanding (1 July onward) = €36,000 + €12,000 = €48,000.

Question 3 (continued)

FULL MODEL ANSWER

Workings

	PP&E	Land
Opening cost / carrying amount	3,900	2,000
– Disposal (at cost)	(100)	—
+ Additions (balancing figure)	600	100
= Closing cost / carrying amount	4,400	2,100

Accumulated depreciation on PP&E	€'000
Opening balance	750
+ Charge for the year (balancing figure)	370
– Eliminated on disposal	(82)
= Closing balance	1,038

Disposal of equipment	€'000
Cost	100
Accumulated depreciation	(82)
Carrying value	18
Proceeds	20
Gain on disposal	2

Tax paid	€'000
Opening tax liability	30
+ Charge for the year	38
– Closing tax liability	(20)
= Tax paid	48

Question 3 (continued)

FULL MODEL ANSWER

Statement of Cash Flows — John Ltd, year ended 31 December 2X21

	€'000
Cash flows from operating activities	
Profit before tax	218
Add: Depreciation	370
Add: Debenture interest (see note above)	48
Less: Gain on disposal of equipment	(2)
Operating profit before working capital changes	634
(Increase) in inventories (200 – 150)	(50)
(Increase) in trade receivables (138 – 90)	(48)
(Decrease) in trade payables (180 – 220)	(40)
Cash generated from operations	496
Interest paid	(48)
Tax paid	(48)
Net cash from operating activities	400

	€'000
Cash flows from investing activities	
Purchase of land	(100)
Purchase of property, plant & equipment	(600)
Proceeds from sale of equipment	20
Net cash used in investing activities	(680)

	€'000
Cash flows from financing activities	
Proceeds from issue of shares (share capital + share premium: 200 + 100)	300
Proceeds from issue of debentures	240
Dividends paid	(20)
Net cash from financing activities	520

	€'000
Net increase in cash and cash equivalents	240
Cash and cash equivalents at 1 Jan 2X21 (Cash 40 + Investments 20)	60
Cash and cash equivalents at 31 Dec 2X21 (Cash 200 + Investments 100)	300

The €240 increase ties back exactly to the balance sheet — cash and cash equivalents went from €60k to €300k. That reconciliation only works because the Investments line was folded into cash equivalents throughout, rather than treated as a separate investing item.

Mark Allocation, 40 Marks

Tier	Marks	What separates this tier
32-40	32-40	PP&E and Land additions correctly derived, disposal gain correctly calculated, interest correctly built up from the two debenture tranches, dividend correctly derived from the retained earnings movement, Investments correctly folded into cash equivalents, and a fully reconciling statement.
22-31	22-31	Correct overall structure with one or two slips — most commonly the Investments treated as a separate investing outflow, or the €20,000 dividend missed entirely because it wasn't given as a direct figure.
11-21	11-21	Operating activities broadly right but investing and/or financing significantly incomplete — most often no attempt to derive the dividend or work out interest from the debenture balances.
0-10	0-10	No credible attempt to reconcile the non-current asset movements or working capital changes.

Question 3 Total: 40 Marks